

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

COMPLAINANT’S MOTION TO
STRIKE UNTIMELY EXPERT
DECLARATIONS FROM
RESPONDENTS AND FOR
SANCTIONS

Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) moves to strike untimely declarations from Respondents’ experts Mr. Coates and Dr. Reitzes, and references thereto in Respondents’ statements of material facts, responses, and briefing. These new expert reports not only violate the Presiding Officer’s scheduling order, but also prejudice IMCC by preventing it from subjecting the new analyses to cross-examination and rebuttal expert opinion. There is no justification for Respondents’ ambush. These new reports claim to respond to IMCC’s expert reports; but Respondents had access to IMCC’s Initial expert opinions and underlying workpapers since February 28, and were required to timely submit any rebuttal reports by March 18. IMCC further moves for attorneys’ fees and costs related to preparing this unnecessary motion.

FACTUAL BACKGROUND

On December 7, 2021, the Presiding Officer issued the operative scheduling order, requiring initial expert reports to be disclosed by February 28, 2022, and rebuttal reports to be provided by March 18, 2022, and for all expert discovery to end by April 1, 2022. Doc. 81, Fourth Amended Scheduling Order (Dec. 7, 2021). Pursuant to that Order, both IMCC and Respondents submitted initial and rebuttal expert reports. The parties further worked collaboratively to schedule expert depositions to ensure diligent cross-examination of all expert opinions and their foundations. *E.g.*, Doc. 91, Order Granting Motion to Depose Rebuttal Experts after April 1, 2022 (Mar. 31, 2022).

With no notice to IMCC or the Presiding Officer, Respondents flouted the operative scheduling order by submitting two new declarations during summary decision briefing. *See* Declaration of Mr. Douglas Coates in Support of Respondents’ Motions for Summary Decision, dated April 29, 2022 (“Untimely Coates Decl.”); Respondents Supplemental Appendix Document #30 (Declaration of Dr. James Reitzes dated May 27, 2022) (“Untimely Reitzes Decl.,” together the “Untimely Declarations”). Respondents never conferred with IMCC before submitting the Untimely Declarations.¹

The Untimely Declarations contain supplementary analysis and opinion undisclosed in their previous reports. For example, Dr. Reitzes’ Untimely Declaration performs “[REDACTED].”
[REDACTED].”

¹ IMCC incorporates herein its previous request to strike the Untimely Coates Declaration. *See* Doc. 108, IMCC Response to Respondents’ Motions for Summary Decision 4 n.4. IMCC has not sought consent of Respondents for this motion, because the Untimely Declarations have already been filed, and Respondents did not respond within 7 days to the previous request to strike the Untimely Coates Declaration. Thus, conferral would be futile. 46 C.F.R. § 502.150(b).

Langenfeld Aff.² ¶ 5. Dr. Reitzes draws his conclusions based “ [REDACTED] [REDACTED],” including “ [REDACTED] [REDACTED]” in his February 28 Initial Report. *Id.* Dr. Reitzes could have performed these analyses in his rebuttal but failed to do so. In fact, Dr. Reitzes’s rebuttal report contained “ [REDACTED].”

Langenfeld Aff. ¶ 3. Dr. Reitzes [REDACTED] despite having access to Dr. Langenfeld’s Initial Report and workpapers. *Id.* ¶ 4. Because Dr. Reitzes had complete access to Dr. Langenfeld’s opinions and backup materials from his Initial Report, there is “ [REDACTED] [REDACTED].” *Id.* ¶ 2. In fact, at his deposition, Dr. Reitzes testified that his reports “ [REDACTED] [REDACTED]” and that it’s “ [REDACTED]” that there are “ [REDACTED] [REDACTED]” his disclosed opinions. Ex. 1 (Reitzes Dep.) 41:10-21.³ Analyzing or responding to the Untimely Reitzes Declaration would require “ [REDACTED] [REDACTED],” including from Dr. Langenfeld. Langenfeld Aff. ¶ 2; *see also id.* ¶¶ 6-10.

Mr. Coates’ Untimely Declaration also contains new opinions, such as [REDACTED] [REDACTED]. Untimely Coates Decl. ¶ 14.

Mr. Coates performs this analysis despite that Respondents have always had these contracts available to provide their experts, and that IMCC’s experts analyzed these provisions in their Initial Reports in February.

² “Langenfeld Aff.” refers to the Affidavit of Dr. James Langenfeld, dated June 13, 2022, in support of this motion, attached hereto as Exhibit 2. Dr. Langenfeld performs *no* new analysis in this affidavit, but rather articulates broadly what would be required to rebut the Untimely Reitzes Declaration.

³ IMCC counsel repeatedly objected during Dr. Reitzes’ deposition when he sought to provide undisclosed testimony outside the scope of his Initial and Rebuttal Reports. *See Id.* at 111:22-112:25, 116:7-23 (objecting to testimony outside the scope of expert reports).

Commission Rule 141 requires that a party’s expert witness disclose, in a written report “a *complete* statement of *all opinions* the witness will express and the basis and reasons for them” as well as all “facts or data considered by the witness in forming them.” 46 C.F.R. § 502.141(d)(2)(i)-(ii) (emphasis added).

A court may order sanctions for non-compliance with expert discovery obligations, such as “designat[ing] [that] facts must be taken to be established,” “prohibit[ing] the disobedient party from supporting or opposing designated claims or defense, or from introducing designated matters in evidence,” and/or “strik[ing] pleadings in whole or in part.” *Id.* § 502.150(b)(1). Rule 150 is strict; it “gives teeth” to Rule 141 “by forbidding the use at trial or any information” that is not properly disclosed. *Yeti by Molly Ltd. v. Deckers Outdoor Corp.*, 259 F.3d 1101, 1106 (9th Cir. 2001) (affirming exclusion of expert). An honest mistake does not excuse failure to comply with Rule 141, nor does a tribunal need to find “bad faith or willfulness” to exclude evidence. *Id.* at 1106. Rather the “party whose evidence may be excluded” has the burden to “prov[e] that its failure to disclose was substantially justified or harmless.” *In re Korean Ramen Antitrust Litig.*, 281 F. Supp. 3d 892, 937 (N.D. Cal. 2017) (excluding witnesses) (citation omitted).

Respondents cannot make that showing here.

ARGUMENT

Once again, Respondents have contemptuously failed to comply with their discovery obligations, prejudicing IMCC. The Presiding Officer has previously admonished that the scheduling order “is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril,” Doc. 40, Scheduling Order (Mar. 4, 2021) (quoting *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992)). Yet Respondents have repeatedly failed to comply with the Presiding Officer’s scheduling orders, requiring IMCC to pursue significant motion practice to avoid prejudice and delay. *See* Doc. 63, Order on Motion to Compel Discovery from CMA CGM S.A. (Aug. 31, 2021); Doc. 74, Order on Motion to Compel and for Sanctions (Sept. 27, 2021). Now, at the summary decision phase, Respondents once again flout the rules, serving belated and previously-undisclosed expert reports. These Untimely Declarations should be stricken.

By filing these Untimely Declarations, Respondents effectively concede that they cannot rely on their timely-disclosed expert reports, and thus must adduce additional opinions to create pseudo-disputes of fact. This “summary decision by ambush” is entirely improper, and prejudices IMCC. Because of Respondents’ untimely disclosures, IMCC “had no [] opportunity to depose” Mr. Coates and Dr. Reitzes on their new opinions or “to incorporate [their] viewpoints in [its] summary [decision] briefing.” *United States v. Aegis Therapies, Inc.*, No. CV 210-072, 2015 WL 1541491, at *10 (S.D. Ga. Mar. 31, 2015) (affirming exclusion of supplemental expert disclosure). Respondents’ failure thus caused IMCC prejudice “during the pendency of a motion for summary judgment [which] is akin to trial by ambush, only on paper.” *Gen. Steel Domestic Sales, LLC v. Chumley*, No. 10-cv-01398-PAB-KLM, 2012 WL 1378536, at *5 (D. Colo. Apr. 20, 2012).

failure is thus not harmless—IMCC would incur tremendous expense, effort, harm, and prejudice.

Further, the Untimely Reitzes Declaration is not only late, it is also incomplete. Respondents did not submit *any* of Dr. Reitzes’s underlying work papers that would allow an independent economist to verify his approaches, math, or statistics. For this reason, the FMC Rules require not only a statement of opinions, but also all “facts or data considered by the [expert] witness in forming” those opinions. *See* 46 C.F.R. § 502.141(d)(2)(ii). Here, IMCC and Dr. Langenfeld cannot even now begin to rebut Dr. Reitzes’ new opinions because “[REDACTED]” Langenfeld Aff. ¶ 9.

Respondents’ untimely and incomplete disclosure is part of an unfortunate pattern. Previously, Respondents failed to provide timely and complete document discovery, requiring IMCC to engage in motions practice, just to ensure Respondents comply with the operative Scheduling Order. The Untimely Declarations should thus be excluded from consideration in the summary decision briefing and stricken from the record pursuant to 46 C.F.R. § 502.150(b)(1).

CONCLUSION

For the foregoing reasons, the Presiding Officer should strike the Untimely Declarations from the record, including references thereto in the summary decision papers. Further, because Respondents previously have been cautioned by the Presiding Officer against ignoring the requirements of the Scheduling Order, Doc. 74 at 2, and now have even more egregiously flouted the Scheduling Order by submitting new expert reports at the summary decision stage, IMCC requests that Respondents be sanctioned by being required to pay IMCC its attorney fees and costs in filing this Motion. *See* 46 C.F.R. § 502.150(b) (Presiding Officer “may make such orders . . . as are just” when a party “fails or refuses to obey an order requiring it to make disclosures”); *Goodyear Tire & Rubber Co. v. Haeger*, 137 S. Ct. 1178, 1186-87 (2017) (one permissible

sanction is “an assessment of attorney’s fees” in order to compensate for “the sum total of the fees that, except for the misbehavior, would not have accrued.”).

DATED: June 13, 2022

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that, on June 16, 2022, a true and current copy of the foregoing Complainant's Motion to Strike and for Sanctions – Public Version was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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Dated: June 16, 2022

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